

Personal study · not live market data

05 — PRD / NRD (divergence)

Your rule: PRD and NRD are divergence. Not Cardwell “reversal continuation.”

PRD — positive / bullish divergence

- **Price:** lower low
- **RSI:** higher low

Selling is weaker on the second low. Location matters: more useful if RSI is in the **40 area** and the higher-timeframe range is not a hard bearish grind.

NRD — negative / bearish divergence

- **Price:** higher high
- **RSI:** lower high

Buying is weaker on the second high. More useful near **60** if the higher-timeframe story can actually turn down.

How to mark (be strict)

1. Two **clear** swing points on **price**. 2. The matching two points on **RSI**. 3. If you have to squint, it is **not** there. 4. Write the **timeframe** (M, W, or D). Daily PRD against a roaring monthly bullish range is a warning, not a standalone short.

What divergence is not

- Not a candle pattern.
- Not “RSI is 40 so PRD.”
- Not hidden/continuation tricks unless you later add them on purpose. This lab: **regular divergence only**.

Practice on the chart pack

For each stock: PRD on M/W/D/none. NRD on M/W/D/none. If both appear on the same chart, **both** can be true at different times — mark dates/swings, don’t freeze.